

POLICYREADY • ARKANSAS

How to Open a **Group Home Business** in Arkansas

Supportive Living under the CES Waiver

Step by Step

*From “where do I start?” to your first payment —
whether you start with a home setting, or your own agency.*

A complete, plain-language guide for real people — not lawyers or consultants.
Figures current for 2026 · Verify all details with the State of Arkansas.

Read this first

This is a plain-language roadmap built from Arkansas's actual rules, agencies, and CES waiver standards. It is not legal, tax, or billing advice, and details change. Two things make Arkansas different: it runs services through managed care (every CES waiver client is enrolled in a PASSE), and its main residential service is called Supportive Living — which can happen in a person's own home, a family home, an apartment, or a provider-owned group home. One honest note: Arkansas's rules reference existing group homes, so the realistic path for a new provider is usually Supportive Living in smaller settings. Before you act, confirm the current specifics with DDS, DMS, the PASSEs, your fire marshal, an attorney, an accountant, and an insurance broker. Every rule and citation here is real — always check the current version.

What this guide covers

- Part 0 — The big picture: the CES waiver, the PASSE managed-care model, Supportive Living, and the two ways in.
- Part 1 — Path A: Supportive Living in a home setting (the small, family-model start).
- Part 2 — Path B: becoming your own certified CES provider agency (supportive living homes/apartments).
- Part 3 — Who you need on your team.
- Part 4 — The home: what your house needs (licensing, HCBS settings, and fire safety).
- Part 5 — Getting your first person placed.
- Part 6 — How you get paid: certification, the PASSE, and your first payment.
- Part 7 — What it costs and how long it takes.
- Part 8 — When they say “check locally”: who to call and exactly what to ask (Little Rock & Northwest Arkansas worked out).

PART 0

The Big Picture

Opening a group home in Arkansas is not like opening a normal small business, and the reason people get lost is that the information lives in a dozen different places — and Arkansas's managed-care system adds a twist. Here it is in one place.

The CES waiver & the PASSE — the thing that makes Arkansas different

Arkansas funds community services for people with intellectual and developmental disabilities through the Community and Employment Support (CES) waiver, run by the DHS Division of Developmental Disabilities Services (DDS). But every CES waiver client is also enrolled in a PASSE — a Provider-led Arkansas Shared Savings Entity — a managed care organization that coordinates their physical health, behavioral health, and DD services. So to get paid, you'll get certified by DDS, enroll with Medicaid (DMS), and contract with the PASSEs.

Supportive Living — what you're actually opening

Arkansas's main residential waiver service is Supportive Living: individualized services that help a person live successfully in their own home, with family, in an apartment, or in a provider-owned group home. In practice that spans a spectrum — from supporting one person in a family home, to a small setting with up to four unrelated adults, to DDS-licensed supportive living apartments (up to four adults per unit), to existing group homes. Because Arkansas's rules point to existing group homes, the realistic opening for a new provider is Supportive Living in the smaller settings.

The players — learn these names, you'll deal with all of them

- DDS — the DHS Division of Developmental Disabilities Services. It runs the CES waiver, certifies providers, and licenses supportive living settings.
- DMS — the DHS Division of Medical Services (Medicaid). You enroll here after DDS certifies you.
- PASSE — the Provider-led Arkansas Shared Savings Entity (managed care) that coordinates services and pays providers. Every CES client is in one.
- Care Coordinator — the PASSE staffer who develops and coordinates the person-centered service plan (PCSP).
- DDS Intake & Referral — the front door for eligibility (501-683-5687).

The fork in the road — there are two ways in

- Path A — Provide Supportive Living in a home setting. Support a person in a family home, your own home, or a small alternative living setting (no more than four unrelated adults). Smallest, fastest, closest to a host home.
- Path B — Become your own certified CES provider agency. Get certified by DDS, enroll with DMS, contract with the PASSEs, and run supportive living homes or DDS-licensed apartments. Much bigger lift — but it's the real business.

PART 1 • PATH A

Supportive Living in a Home Setting

Start here. It's the fastest way in — and you can grow into your own agency later.

Step 1 — Make sure it fits your life

Supportive Living in a home setting means an adult with a developmental disability lives in a home — their family's, yours, or a small shared setting — and you provide the daily support. Everyone in the household is part of the process, so this is a family decision. Go in with eyes open about the good days and the hard ones.

Step 2 — Decide how you'll operate

You can provide Supportive Living as staff for an existing certified CES provider (the simplest start — they handle certification and billing), or certify your own small operation. If you're just beginning, working with an established provider first is the fastest way to learn the system.

Step 3 — Understand the setting limits

In a family home, own home, or alternative living setting, Supportive Living serves no more than four unrelated adults with developmental disabilities. Keep your setting within the rules from day one.

Step 4 — Pass background checks & training

Complete the required criminal background and registry checks and the training the CES certification standards require. Your provider (or DDS Quality Assurance) will walk you through the checklist.

Step 5 — Get matched through the PASSE

The person's PASSE Care Coordinator and team match them to a provider and setting based on their person-centered service plan (PCSP) and their choice. A good match is what makes it work.

Step 6 — Put your policies in writing

You'll keep clear documentation — medications, emergencies, incident reporting, and the rights of the person you support. PolicyReady's Arkansas manuals are built for exactly this: ready to customize, just add your details.

Step 7 — Get supported, and get paid

The provider bills the PASSE and pays you. If the person lives in your own home, your payments may qualify for the IRS "difficulty-of-care" exclusion (potentially non-taxable) — confirm with a tax professional. That first payment is the moment it all clicks.

PART 2 • PATH B

Become Your Own Certified CES Provider Agency

More work, more money, more control. Here's the whole thing, in order.

Step 1 — Set up the business & learn the standards

- Form your entity (LLC or corporation) with the Arkansas Secretary of State and get your EIN and an NPI.
- Read the DDS CES Certification Standards, the DMS CES waiver provider manual, and the Arkansas waiver document closely — your application must show you understand them.
- Contact DDS Quality Assurance for the certification standards (enrollment is continuously open).

Step 2 — Apply for DDS certification

Submit your CES Waiver provider application — your policy statements and service descriptions must reflect the regulations and describe how you'll deliver services. This is how you convince DDS you have the expertise and capacity. Review and approval may take up to 90 days (provider information line: 870-261-6668).

Step 3 — Enroll with Medicaid (DMS)

Once DDS certifies you, contact the DMS Provider Enrollment Unit to enroll as an Arkansas Medicaid provider. Certified providers get to specify the maximum number of people they can serve, the county(ies) they'll serve, and the services they'll provide.

Step 4 — Contract with the PASSEs

Because every CES client is enrolled in a PASSE, you contract with the PASSEs (such as Arkansas Total Care and CareSource — see passe.arkansas.gov for the current list) to serve their members and be paid. Contract with as many as you want to serve.

Step 5 — License your settings, staff & serve

If you'll operate DDS-licensed supportive living apartments (up to four adults per unit) or another licensed setting, complete that licensing. Put your policies in place (PolicyReady manuals), hire and train your direct support professionals, and make sure each person has the required residency agreement. Then accept referrals, deliver services, and bill the PASSE (Parts 5 and 6).

PART 3

Who You Actually Need (Staffing)

Home-setting Supportive Living (Path A): you (and your household) provide the support. An established provider gives you the professional oversight, certification, and billing. Note that staffing hours are prorated by the number of people in the arrangement, with extra one-on-one staffing when justified.

Certified CES agency (Path B), plan for these roles — one person can wear several hats at the start:

- Agency director / administrator — runs the agency, owns certification, enrollment, and PASSE contracts.
- Direct support professionals (DSPs) — the caregivers who provide supportive living; staffing is prorated by the number served.
- Registered Nurse — for health oversight and medication; often part-time or contracted at first.
- Quality / compliance — to keep up with the CES certification standards and prepare for DDS reviews.
- Billing / administrative support — handles Medicaid/PASSE billing and documentation.

PART 4

The Home: What Your House Actually Needs

How Arkansas handles homes

Supportive Living in a family or own home (up to four unrelated adults) is held to the CES certification standards and the HCBS settings requirements — it's a home, not a licensed facility. Supportive living apartments are DDS-licensed (up to four adults per unit), and group homes are licensed settings. In every case, the home must genuinely be the person's home — with a residency agreement, privacy, and full access to the community.

“Do I need fire sprinklers?” — the honest answer

A small home setting (up to four adults) is a private residence, so a full commercial fire-sprinkler system generally is not required. A DDS-licensed supportive living apartment complex or group home has fire requirements that come from the Arkansas fire code and depend on the building's size and occupancy — so a larger, licensed setting may face requirements a family home doesn't. Because it's set by the fire code and your local fire marshal, confirm your specific building with the local fire marshal and DDS before you buy or renovate.

THE HOME CHECKLIST

- For a small home setting: CES certification-standard compliance and HCBS-settings compliance. For a licensed apartment/group home: DDS licensing.
- HCBS settings rights: a lease or residency agreement, privacy, choice, and full community access.
- Working smoke and carbon-monoxide detectors, extinguishers, clear exits, and a practiced emergency plan; fire-safety sign-off appropriate to the setting.
- A safe, clean, sanitary home — sound utilities and electrical, working plumbing, and safe food storage and preparation.
- Setting-size limits respected — no more than four unrelated adults in a home/alternative living setting; up to four per licensed apartment unit.

Two more things people get wrong

- New large group homes generally aren't the opening. Arkansas's rules point to existing group homes, so plan your business around Supportive Living in smaller settings (homes and licensed apartments), not a brand-new 14-bed facility.
- Room and board is separate from your pay. The waiver pays for the service, not the person's rent and food — those come from their own income (usually SSI). Keep the two separate.

PART 5

Getting Your First Person Placed

You can't get paid until someone is placed with you and their services are authorized through the PASSE. Here's how that happens.

1. The person qualifies — and waits. They have a developmental disability documented before age 22, meet the ICF/IID institutional level of care, and meet financial and functional criteria. Because slots are limited, most people spend time on the CES waiting list (contact DDS Intake at 501-683-5687).
2. They get a waiver slot. People move from the waiting list into waiver slots based on when they were added.
3. They're assessed and assigned a PASSE. An independent assessment (Optum) helps determine needs, and the person is enrolled in a PASSE that coordinates their care.
4. The plan and match. The PASSE Care Coordinator develops the person-centered service plan (PCSP) and, with the person's choice, matches them to your setting and services.
5. Move-in. With the PCSP and authorization in place, the person moves in (or begins services) and you're delivering a billable service.

PART 6

How You Get Paid: Certification, the PASSE & Your First Payment

The keys that unlock payment

- DDS certification: the state's quality gate — without it you can't provide CES services.
- DMS (Medicaid) enrollment: makes you an Arkansas Medicaid provider.
- PASSE contract: the PASSE actually authorizes and pays for services — you contract with the PASSEs whose members you'll serve.

How the rate works

- Supportive Living rate: set through the CES waiver and paid via the PASSE; staffing is prorated by the number of people in the arrangement, with additional one-on-one staffing when justified.
- Where to look: exact procedure codes and current rates are in the DMS CES waiver provider manual. Confirm the current figure before you budget.
- Room and board is separate: the waiver pays the service, not the person's rent and food (those come from their SSI/personal income).
- Billed to the PASSE: your claims go to the person's PASSE, per your contract with them.

Your first payment

6. Confirm the service is authorized in the person's PCSP and by their PASSE.
7. Deliver the service and keep your documentation.
8. Submit the claim to the PASSE (your provider does this if you're working under one).
9. Get paid — and keep your certification, enrollment, and authorizations current.

PART 7

What It Costs & How Long It Takes

Timeline

Providing Supportive Living under an existing provider (Path A) can start relatively quickly — background checks and training. Becoming your own certified CES agency (Path B) takes longer: the business setup, the DDS certification application (up to 90 days for review), DMS enrollment, and contracting with the PASSEs. Plan for several months end to end, and confirm current timelines with DDS.

Startup line items

Home-setting Supportive Living costs are modest — mainly your time, background checks, training, and getting the home ready. A certified agency adds business formation, insurance, staff payroll, any DDS licensing for apartments, and your policies and procedures. Confirm current fees with DDS and DMS.

PART 8

When They Say “check Locally”: Who to Call & What to Ask

In Arkansas, DDS, DMS, and the PASSEs are the center of gravity, with your local fire marshal close behind. Here's who to call and exactly what to ask.

The statewide offices (same for everyone)

For...	Contact
Becoming a certified provider	DDS Quality Assurance / provider line — 870-261-6668 • humanservices.arkansas.gov (Become a CES Provider)
Medicaid enrollment	DMS Provider Enrollment Unit (after DDS certification)
The PASSE program (contracts)	passe.arkansas.gov • 1-833-402-0672 (e.g., Arkansas Total Care, CareSource)
Eligibility & intake	DDS Intake & Referral — 501-683-5687
Waiver / waitlist questions	DHS.DDS.Waiver.AU@dhs.Arkansas.gov

The local calls — and what to ask on each one

① DDS / AN EXISTING CERTIFIED PROVIDER — YOUR MOST IMPORTANT CALLS

- “I want to provide Supportive Living / start a certified CES agency. What are the certification standards, and what's the current provider need in this area?”
- (To a provider) “How do you bring on new supportive living staff, how do you match, and how and when do you pay?”

② THE PASSES — THE CONTRACTS

- “How do I contract with your PASSE to provide Supportive Living, and how are supportive living services authorized and paid?”

③ LOCAL FIRE MARSHAL / DDS LICENSING — THE HOME

- “I'm opening a supportive living home for up to four adults with disabilities / a licensed apartment setting. What fire-safety requirements apply, and do I need sprinklers?”

Fully worked examples — Arkansas's two biggest markets

Most people start in or near one of these. DDS Intake and the PASSE process are statewide — the local piece is mainly your fire marshal and building official.

LITTLE ROCK (CENTRAL ARKANSAS)

- State offices: DDS Intake & Referral (501-683-5687) and DDS Central Office are based in Little Rock; DMS for Medicaid enrollment.
- Funding source: contract with the PASSEs serving Central Arkansas (see passe.arkansas.gov).
- Home & fire: City of Little Rock (or Pulaski County) fire marshal and building official; DDS for any licensed setting.
- The local quirk here: Little Rock is the state's biggest, most competitive market — build relationships with PASSE Care Coordinators, since members choose their provider.

NORTHWEST ARKANSAS (FAYETTEVILLE / SPRINGDALE)

- State offices: same statewide DDS Intake (501-683-5687) and provider process; DMS for enrollment.
- Funding source: the PASSEs serving Northwest Arkansas.

- Home & fire: City of Fayetteville / Springdale (or Washington/Benton County) fire marshal and building official.
- The local quirk here: Northwest Arkansas is the state's fastest-growing region — strong, rising demand across several cities, so confirm which city covers your address.

How to find your own area's offices

10. Call DDS Intake & Referral (501-683-5687) to start, and the provider line (870-261-6668) to become a provider.
11. Contract with the PASSEs at passe.arkansas.gov (1-833-402-0672).
12. For fire safety, call your city or county fire marshal; for licensed settings, work with DDS.

CORE RULES & REFERENCES

- The Community and Employment Support (CES) 1915(c) waiver — DDS operates it; DMS administers Medicaid.
- DDS CES Certification Standards and the DMS CES HCBS Waiver Provider Manual — provider requirements, Supportive Living, and rates.
- PASSE program (Provider-led Arkansas Shared Savings Entity) — managed care; passe.arkansas.gov.
- Arkansas supportive living arrangement rules — home/alternative living (≤ 4 adults), DDS-licensed apartments (≤ 4 per unit), existing group homes.

You can do this.

Opening a group home in Arkansas is real work — the managed-care system has a couple of extra steps — but it's a real, walkable path, and people across the state do it every day, giving someone a real home in the community. You don't have to be a lawyer or hire a consultant. You need a safe home, a good heart, and a clear map — and now you have the map. Whether you start by providing Supportive Living in a home setting or build your own certified agency, this guide takes you from your very first question all the way to your first payment.

Take it one step at a time, verify the current details with the State and the PASSEs as you go, and lean on DDS — that's what they're there for.

Prepared for PolicyReady.org. Grounded in Arkansas DHS/DDS and DMS rules, the CES waiver standards, and the PASSE program as of 2026. This guide is general information, not legal, tax, or billing advice. Requirements, rates, and codes change — always verify current details with the State of Arkansas before you act.